IN THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH, ALLAHABAD

Company Application No. CA(CAA)No.04/ALD of 2021

(Under Section 230 & 232 of the Companies Act, 2013)

[DISTRICT: KANPUR]

In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

IN THE MATTER OF AMALGAMATION OF

PRASHANT COMMERCIAL HOLDINGS LIMITED, a Company incorporated under the Companies Act, 1956 having its Registered Office at D-3 / A, Panki Industrial Estate, Kanpur- 208022 (U.P.) having Corporate Identification Number U67120UP1983PLC006093 within the jurisdiction of this Tribunal.

Applicant / Transferor Company

WITH

THREADS (INDIA) LIMITED, a Company incorporated under the Companies Act, 1956 having its Registered Office at D-3 / A, Panki Industrial Estate, Kanpur- 208022 (U.P.) having Corporate Identification Number U17116UP1983PLC006119 within the jurisdiction of this Tribunal.

Applicant / Transferee Company

ORDER DELIVERED ON:10.02.2021

CORAM: Hon'ble Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

Appearance

Mr. S.K. Gupta, Practicing Company Secretary

.....for the Applicant Companies

ORDER

[Per: Hon'ble Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)]

1. This is a First Motion Application jointly filed by the Applicant Companies herein, Prashant Commercial Holdings Limited (Applicant / Transferor Company) and Threads (India) Limited (Applicant / Transferee Company) (collectively referred to as the 'Applicant Companies') under Sections 230-

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232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the 'Scheme') proposed between the Applicant Companies inter-alia, seeking directions from the Hon'ble Tribunal for holding / dispensation with the requirement of convening the meetings of the Equity Shareholders, Secured and Unsecured Creditors of all the Applicant Companies. The Scheme of Amalgamation is annexed as **Annexure -1** to the Application.

2. In the Application, it is stated that the Transferor Company is a 'Public Limited Company' incorporated under the provisions of the Companies Act, 1956 in the State of Uttar Pradesh vide Certificate of Incorporation issued by the Registrar of Companies, Uttar Pradesh and the Transferor Company was assigned Corporate Identification Number (CIN) U67120UP1983PLC006093. The Transferor Company was issued the Certificate of Commencement of Business by the Registrar of Companies, Uttar Pradesh on 18th day of June, 1983.The Registered Office of the Transferor Company is presently situated at D-3/A, Panki Industrial Estate, Kanpur- 208022 (U.P.). The PAN No. of the Transferor Company is AAACL2223R. The Transferor Company is the Holding Company of Threads (India) Limited, the Transferee Company. The Authorised Share Capital of the Transferor Company is Rs. 2,00,00,000/- divided into 15,00,000 Equity Shares of Rs.10/- each and 50,000 Preference Shares of Rs. 100/- each. The Issued, Subscribed and Paid-up Share Capital of the Transferor Company is Rs. 1,10,00,000/- divided into 11,00,000 Equity Shares of Rs.10/- each.The Main Objects of the Transferor Company are set out in its Memorandum and Articles of Association annexed with the Application and marked as ***Annexure-2.*** The Transferor Company is presently engaged in the business of financing and investment and is a Core Investment Company.

3. In the Application, it is stated that the Transferee Company was originally incorporated as a 'Private Limited Company' under the provisions of the Companies Act, 1956 in the name and style of 'Threads (India) Private Limited' in the State of Uttar Pradesh vide Certificate of Incorporation issued by the Registrar of Companies, Uttar Pradesh. The Transferee Company became a deemed Public Limited Company under Section 43 A of the Companies Act, 1956 and the word 'Private' was deleted from the name of the Transferee Company by the Registrar of Companies, Uttar Pradesh with effect from 19th December, 1987. The transferee Company was assigned

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Corporate Identification Number (CIN) U17116UP1983PLC006119. The Registered Office of the Transferee Company is presently situated at D-3/A, Panki Industrial Estate, Kanpur- 208022 (U.P.). The PAN No. of the Transferee Company is AAACT5205H. The Transferee Company, is a Wholly-owned Subsidiary of Prashant Commercial Holdings Limited, the \ Transferor Company as its entire Paid-up Share Capital is held by the Transferor Company in its name and in the name of its nominees. The Authorised Share Capital of the Transferee Company is Rs. 2,00,00,000/- divided into 20,00,000 Equity Shares of Rs. 10/- each. The Issued, Subscribed and Paid-up Share Capital of the Transferee Company is Rs. 2,00,00,000/- divided into 20,00,000 Equity Shares of Rs. 10/- each. The Main Objects of the Transferee Company are set out in its Memorandum and Articles of Association annexed with the Application and marked as ***Annexure-5.*** The Transferee Company is presently engaged in the business of manufacturing of Sewing Threads and allied activities.

4. The material placed on record discloses that the Transferor Company and the Transferee Company are Public Limited Companies. The Registered office of the Transferor Company and Transferee Company is situated at D-3/A, Panki Industrial Estate, Kanpur- 208022 (U.P.) which is within the jurisdiction of this Tribunal.

5. The Board of Directors of all the Applicant Companies in their respective meetings held on 24th December, 2020, considered and unanimously approved the proposed Scheme of Amalgamation with 'Appointed Date' as on 1st April, 2020. The copies of the Resolutions passed by the Board of Directors of the respective Applicant Companies are annexed with the Application and marked as ***Annexure-8 and Annexure-9.***

6. The Applicant Companies have filed their Audited Financial Statements along with the Directors' Report and Auditors' Report for the financial year ended 31st March, 2020 which are annexed with the Application and marked as ***Annexure-3 and Annexure-6***.

7. The Applicant Companies have also filed Interim Financial Statements for the period ended 15th December, 2020 and 30th September, 2020 respectively which are annexed with the Application marked as ***Annexure-4 and Annexure-7***.

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8. The Board of Directors of the Applicant Companies have proposed the Scheme of Amalgamation of Prashant Commercial Holdings Limited (Transferor Company) with Threads (India) Limited (Transferee Company) for the following reasons:

i. The Transferor Company is a Holding Company of the Transferee Company.

ii. The Transferor Company and the Transferee Company have common control, common management, common place of business and common group administration.

iii. The amalgamation will lead to emergence of a single entity with strong financial capability to effectively withstand competition, to effectuate economies of scale and to optimize benefits available under the law. The consolidated Company with far enlarged asset base, higher profitability and net worth will be better placed to access low cost fund for its expansion and diversification requirements.

iv. The amalgamation will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Amalgamating Companies and will avoid duplication of administrative functions and eliminate multiple record keeping.

v. The amalgamation will result in simplification and rationalization of the holding structure and reduction in corporate legal entities.

9. It is stated that no inspection, inquiry or investigation proceedings under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 are pending against the Applicant Companies.

10. It is stated that the Auditors of the Applicant Companies have not disclosed any mismanagement in the affairs of the Applicant Companies.

11. It is stated that as a consideration for transfer of assets and liabilities pursuant to the 'Scheme of Amalgamation', the Share Exchange Ratio has been determined by Mr. Shravan Kumar Vishnoi, a Registered Valuer for Securities and Financial Assets (Registration No. IBBI / RV / 03 / 2020 / 12739), who has given the Share Entitlement Report which is annexed to the Application and marked as ***Annexure -10.***

12. As per the Share Entitlement Report, since the Transferee Company is a wholly owned subsidiary company of the Transferor Company, the Share capital of the Transferor Company will be restated in the books of the Transferee Company accordingly, the Transferee Company shall issue and allot without any further application, act or deed and without any further payment, the Equity Shares to the Equity Shareholders of the Transferor Company whose names are recorded in the Register of Members / Records

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of Depositories as beneficial owners on the 'Record Date' to be fixed by the Board of Directors of the 'Transferee Company' as under:-

"1 (One) Equity Share of Rs. 10/- (Rupees Ten only) each credited as fully paid-up in the 'Transferee Company' for every 1 (One) Equity Share of Rs. 10/- (Rupees Ten only) each fully paid up held in the 'Transferor Company'."

13. The Applicant Companies have stated that the accounting treatment proposed in the Scheme of Amalgamation is inconformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013. Certificates from the Statutory Auditors of the respective Applicant Companies have been filed along with the Application as ***Annexure - 11 and Annexure - 12***.

14. The Learned Counsel for the Applicant Companies filed details of Shareholders, Secured Creditors and Unsecured Creditors as below:

i) The Transferor Company has 7 (Seven) Equity Shareholders, all of them have accorded their consents in the form of affidavits to the proposed 'Scheme of Amalgamation' and also for waiver of separate Meeting of the Equity Shareholders of the Transferor Company. There are no Preference Shareholders in the Transferor Company. The list of Equity Shareholders and their consent affidavits are annexed with the Application and marked as ***Annexure-13 and Annexure-14.*** Further, there are no creditors Secured or Unsecured in the Transferor Company as per the Certificate of the Statutory Auditors of the Transferor Company and also the Affidavit of a Director confirming the nil position of Creditors of the Transferor Company which are annexed with the Application and marked as ***Annexure-15 and Annexure-16***.

ii) The Transferee Company being a Wholly-owned Subsidiary Company of the Transferor Company, has 7 (Seven) Equity Shareholders, the Transferor Company and its Nominees, all of them have accorded their consents in the form of affidavits to the proposed 'Scheme of Amalgamation' and also for waiver of separate Meeting of the Equity Shareholders of the Transferee Company. There are no Preference Shareholders in the Transferee Company. The list of Equity Shareholders and their consent affidavits are annexed with the Application and marked as ***Annexure-17 and Annexure-18***. Further, the Transferee Company has 497 (Four Hundred and Ninety Seven) Creditors consisting of 4 (Four) Secured Creditors and 493 (Four

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Hundred and Ninety Three) Unsecured Creditors as on 30th November, 2020 with aggregate value of debt amounting to Rs. 63,83,53,284.19 (Rupees Sixty Three Crore Eighty Three Lakhs Fifty Three Thousand Two Hundred Eighty Four and Paise Nineteen only). The aggregate value of Secured Debt was Rs. 39,57,61,204.65 (Rupees Thirty Nine Crore Fifty Seven Lakhs Sixty One Thousand Two Hundred Four and Paise Sixty Five only) and Unsecured Debt amounted to Rs. 24,25,92,079.54 (Rupees Twenty Four Crore Twenty Five Lakhs Ninety Two Thousand Seventy Nine and Paise Fifty Four only). The list of Secured and Unsecured Creditors of the Transferee Company duly certified by a Chartered Accountant is annexed with the Application and marked as ***Annexure-19***.

15. Learned Practicing Company Secretary, Mr. S.K. Gupta, appearing for the Applicant Companies made the following contentions with respect to the holding and / or dispensation of the requirement of convening the meetings:

A. *All the Shareholders of the Transferor Company and the Transferee Company have given their written consents by way of Affidavits, therefore, the requirement of convening meetings of the Shareholders of the Transferor Company and the Transferee Company may be dispensed with.*

B. *As there are no Secured Creditors in the Transferor Company, therefore, the necessity for convening the Meeting of the Secured Creditors of the Transferor Company does not arise.*

C. *As there are no Unsecured Creditors in the Transferor Company, therefore, the necessity for convening the Meeting of the Unsecured Creditors of the Transferor Company does not arise.*

D. *Further, necessary directions need to be issued for convening, holding and conducting the Meetings of the Secured and Unsecured creditors of the Transferee Company and the notices and advertisements be issued in that behalf. It was pointed out that from the list of Unsecured Creditors of the Transferee Company annexed to the Application it may be observed that there are many trade creditors with minimal amount of debt which constitute less than one percent of the total debt due to Unsecured creditors and form huge proportion of total number of Unsecured creditors and their interest is unlikely to be affected by the proposed Scheme, therefore, in order to simplify the process of issuance of notices and to avoid crowding at the venue of the Meeting considering the pandemic situation, it was prayed that the*

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requirement of issuing notice to those Unsecured Creditors having value of unsecured debt upto Rs. 20,000/- may be dispensed with.

16. Taking into consideration the joint Application and the documents filed therewith showing compliance of various provisions of the Companies Act, 2013 and the Rules framed thereunder, this Tribunal issues the following directions with respect to convening, holding and conducting of the meetings of the Shareholders, Secured and Unsecured Creditors of the Applicant Companies or dispensing with the same as follows:-

A. APPLICANT / TRANSFEROR COMPANY

- **With respect to Equity Shareholders**

The Applicant / Transferor Company has 7 (Seven) Equity Shareholders and all of them have given their consent in the form of affidavits in support of the Scheme constituting 100% in value and in number of the Equity Shareholders which are on record, hence the necessity of convening a meeting of the Equity Shareholders is dispensed with.

- **With respect to Secured Creditors**

The Applicant / Transferor Company has no Secured Creditors, hence the necessity of convening a Meeting of Secured Creditors does not arise.

- **With respect to Unsecured Creditors**

The Applicant / Transferor Company has no Unsecured Creditors, hence the necessity of convening a Meeting of the Unsecured Creditors does not arise.

B. APPLICANT / TRANSFEREE COMPANY

- **With respect to Equity Shareholders**

The Applicant / Transferee Company being a Wholly-owned Subsidiary Company of the Applicant / Transferor Company, has 7 (Seven) Equity Shareholders, the Transferor Company and its Nominees, all of them have accorded their consents in the form of affidavits in support to the proposed 'Scheme of Amalgamation' constituting 100% in value and in number of the Equity Shareholders which are on record, hence the necessity of convening a meeting of the Equity Shareholders is dispensed with.

- **With respect to Secured Creditors**

The Transferee Company has 4 (Four) Secured Creditors with aggregate value of debt amounting to Rs. 39,57,61,204.65 (Rupees Thirty Nine Crore

Fifty Seven Lakhs Sixty One Thousand Two Hundred Four and Paise Sixty Five only), hence, the Tribunal allows the prayer of the Applicant / Transferee Company to convene the Meeting of its Secured Creditors with the following directions:

(i) Let the Meeting of Secured Creditors of the Applicant / Transferee Company be convened and held at the Head office and Works of the Transferee Company at **Lohia Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.) on Saturday, the 20th March, 2021 at 11.30 A.M.** for the purpose of considering and, if thought fit, approving, with or without modification(s), the proposed Scheme of Amalgamation of Prashant Commercial Holdings Limited (PCHL) with Threads (India) Limited (TIL).

- **With respect to Unsecured Creditors**

The Transferee Company has 493 (Four Hundred and Ninety Three) Unsecured Creditors with aggregate value of debt amounting to Rs. 24,25,92,079.54 (Rupees Twenty Four Crore Twenty Five Lakhs Ninety Two Thousand Seventy Nine and Paise Fifty Four only), hence, the Tribunal allows the prayer of the Applicant / Transferee Company to convene the Meeting of its Unsecured Creditors with the following directions:

(i) Let the Meeting of Unsecured Creditors of the Applicant / Transferee Company be convened and held at the Head office and Works of the Transferee Company at **Lohia Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.)** on **Saturday, the 20th March, 2021 at 1.00 P.M.** for the purpose of considering and, if thought fit, approving, with or without modification(s), the proposed Scheme of Amalgamation of Prashant Commercial Holdings Limited (PCHL) with Threads (India) Limited (TIL). Further, as submitted with reference to the list of Unsecured Creditors of the Transferee Company annexed to the Application that there are many trade creditors with minimal amount of debt which form insignificant proportion of total value of debt of unsecured creditors and their interest is unlikely to be affected by the proposed Scheme, in order to simplify the process of issuance of notices and to avoid crowding at the venue of the Meeting in pandemic situation, the requirement of issuing notice to those Unsecured Creditors having value of unsecured debt upto Rs. 20,000/- is dispensed with.

(ii) The quorum of the aforesaid meetings of the Secured Creditors shall be 2 (Two) persons and for Unsecured Creditors shall be as prescribed under Section 103 of the Companies Act, 2013. In case the quorum for the

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aforesaid Meeting(s) is not present then the Meeting(s) shall be adjourned for half-an hour and the person(s) present at the adjourned Meeting(s) of the Secured and / or Unsecured creditors shall be deemed to constitute the quorum.

(iii) For computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting is filed with the registered office of the Transferee Company at least forty eight hours before the time fixed for commencement of the Meeting. The Chairperson / Alternate Chairperson along with the Scrutinizer shall ensure that the proxy registers are properly maintained.

(iv) As per Section 230(4) of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the Companies (Management and Administration) Rules, 2014 option for voting by Postal Ballot shall also be given to the Secured and Unsecured Creditors before the date of the meeting in addition to the poll at the venue of the Meeting through ballot paper.

(v) The Secured and Unsecured Creditors as per the list placed at Annexure No. 19 of the Application will get the right to vote. The votes cast by Secured and Unsecured Creditors by all modes shall be reckoned and scrutinized for each meeting.

(vi) The Transferee Company to ensure that appointment of Proxy is in Form No. MGT 11 as provided in the Companies (Management and Administration) Rules, 2014 which may be suitably modified to conform to the requirements of Creditors' Meetings.

(vii) That the notices of the meetings of the Secured and Unsecured Creditors of the Transferee Company, inter-alia, containing date, time, venue, mode of voting etc. shall be communicated in the manner prescribed under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 by the Authorized Representative of the Transferee Company to each of the Secured and Unsecured Creditors by Speed post, Registered post or through email where email id is available. Such notices shall be sent at least thirty days before the date fixed for the meeting of the Secured and Unsecured Creditors. It is clarified that notices be issued only to those unsecured creditors whose debt is more than Rs. 20,000/- as per the list placed at Annexure-19 and the prayer for doing away with issuing notices to those Unsecured Creditors having value of unsecured debt up to Rs. 20,000/- is allowed.

(viii) It is further directed that such notices shall be accompanied by a copy of Scheme of Amalgamation, a Statement disclosing the details as specified in Rule 6(2) of the Companies (Compromises, Arrangements and

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Amalgamations) Rules, 2016 and such other information / documents as may be necessary under other applicable provisions.

(ix) It is also directed the notices shall be published in the following newspapers not less than thirty days before the date fixed for the meeting, in **"Business Standard"** in English and **"Rashtriya Sahara"** in Hindi having circulation in Kanpur in Form No. CAA.2 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 which shall also be placed on the website of the Company, if any.

(x) The Transferee Company shall furnish a copy of the proposed Scheme of Amalgamation together with a copy of the Statement required to be furnished under Section 230 of the Companies Act, 2013 free of charge within one day of any requisition being made for the same by any Creditor of the Transferee Company entitled to attend the Meeting.

(xi) ***Mr. Shivendra Bahadur Advocate (Mobile No.7355124069), Email Id:bahadurshivendra@gmail.com and Ms. Aparna Trivedi, Advocate (Mobile No:9650308968), Email Id:aparnatrivedi2015@gmail.com*** are appointed as the Chairperson and Alternate Chairperson for the aforesaid Meetings of the Secured and Unsecured Creditors of the Applicant / Transferee Company. ***Mr. Ankit Kumar Singh, Practicing Company Secretary, (Mobile No. 7007496701 , Email Id: cs.ankitsingh22@gmail.com*** is appointed as Scrutinizer for smooth conduct of the said Meetings and ascertaining the results of the postal ballot and poll process.

(xii) The Chairperson and Alternate Chairperson shall be paid Rs. 1,00,000/- (Rupees One Lakh only) each as honorarium and the Scrutinizer shall be paid Rs. 75,000/- (Rupees Seventy Five Thousand only) as honorarium. Apart from above remuneration, the Applicant / Transferee Company shall make necessary and proper arrangements for travel / transport, stay and other allied expenses.

(xiii) The Chairperson appointed for the aforesaid Meetings shall issue the Notice of the Meetings referred to above and shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the Meeting(s), including for deciding procedural questions that may arise or at any adjournment thereof or any other matter including amendment to the Scheme or resolution, if any, proposed at the Meetings by any person(s).

(xiv) The Learned Chairperson to file an Affidavit not less than 7 (seven) days before the date fixed for holding of the meetings and to report this Tribunal that the directions regarding issue of notices and advertisement have been

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duly complied with as per Rule 12 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(xv) The Learned Chairperson to report this Tribunal, the results of the aforesaid meetings of the Secured and Unsecured Creditors of the Transferee Company in Form No. CAA.4, within thirty days of the conclusion of the said meetings as per Rule 13(2) and Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

17. The Transferee Company shall serve notice as per sub-section (5) of Section 230 of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, along with the copy of the Application and all other documents including the copy of the Scheme of Amalgamation with the necessary details on the Central Government through Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, Registrar of Companies, Uttar Pradesh, Kanpur, the concerned Income-Tax Authority within whose jurisdiction the Applicant Companies are assessed, the Official Liquidator, Allahabad and other Sectoral Regulators, as may be applicable by Registered post or by Speed post or by courier or by hand delivery forthwith after sending the notice of the said meetings to the Secured and Unsecured Creditors for filing their representations, if any, within thirty days from the date of receipt of such Notice to the Tribunal and a copy of such representations shall simultaneously be served upon the Applicant Companies, failing which, it shall be presumed that the Authorities have no representation to make on the proposals.

With the above directions CA (CAA) No. 4 / ALD / 2021 is accordingly, disposed off.

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JUSTICE RAJESH DÁYAL KHARE

MEMBER (J)

Date: 10.02.2021

Swati Gupta
(LRA)